

Car Loan Agreement

Sample 1

Prepared for:

[Arun Kumar]

[Borrower]

Prepared by:

[HDFC Auto Finance Limited]

[Lender]

Vehicle Loan Agreement

1. Introduction

This Vehicle Loan Agreement ("Agreement") is entered into on this **10 January 2025**, by and between **HDFC Auto Finance Limited**, hereinafter referred to as the "**Lender**", and **Arun Kumar**, hereinafter referred to as the "**Borrower**".

This Agreement outlines the terms and conditions under which the Lender agrees to finance a motor vehicle for the Borrower, and the Borrower agrees to repay the loan in accordance with the terms stated in this Agreement.

Both parties mutually agree to adhere to the obligations, conditions, and responsibilities detailed herein.

2. Vehicle Details

- a) Vehicle Make: **Maruti Suzuki**
- b) Vehicle Model: **Baleno Zeta**
- c) Vehicle Year: **2024**
- d) Chassis Number: **MA3EJKD1S00923456**
- e) Engine Number: **K12N019283**
- f) Color: **Premium Silver**
- g) Registration Number: **TN45AS3728**
- h) Odometer Reading at Purchase: **00 km**
- i) Type: **Passenger Car (Petrol)**

The above-described vehicle is the subject of this Loan Agreement.

3. Loan Term

Loan Start Date: **15 January 2025**

Loan End Date: **15 January 2030**

Total Loan Duration: **60 Months (5 Years)**

The tenure cannot be changed unless mutually agreed in writing by both parties.

4. Loan Amount and EMI

Loan Amount Sanctioned: ₹7,50,000

Interest Rate: **9.8% per annum (Fixed)**

Processing Fee: ₹2,000

Monthly EMI Amount: ₹15,850

EMI Due Date: **5th of every month**

Payment Mode: **Auto-Debit (NACH Mandate)**

Late EMI Penalty:

If EMI remains unpaid for more than 5 days: **₹500 fine + 2% penalty interest.**

5. Security / Hypothecation

The financed vehicle shall remain **hypothecated** to the Lender until the complete repayment of loan outstanding.

The Lender's name will be endorsed in the **Registration Certificate (RC)** under hypothecation section.

6. Insurance Requirements

The Borrower must maintain **Comprehensive Insurance** throughout the loan tenure.

Minimum Insurance Requirements:

- Third-Party Liability
- Comprehensive Coverage
- Zero Depreciation (recommended)
- Engine Protect (optional)

The Lender must be listed as **Hypothecation Holder**.

Failure to maintain insurance may result in repossession of the vehicle.

7. Borrower Responsibilities

The Borrower agrees to:

- Pay all EMIs on time.
- Maintain the vehicle in good condition.
- Renew insurance before expiry.
- Not remove, sell, or transfer the vehicle until loan closure.
- Immediately inform the Lender in case the vehicle is lost, stolen, or damaged.

8. Prepayment / Foreclosure

The Borrower may foreclose the loan after **12 EMIs**.

Foreclosure Charges: **3% on outstanding principal**.

Part-payment allowed: Yes

Minimum part-payment: **₹25,000**

9. Default and Penalties

Default occurs when:

- EMI overdue for more than **60 days**
- Borrower fails to maintain insurance
- Borrower provides false documents
- Vehicle is sold without permission

Lender may:

- 1) Repossess the vehicle
 - 2) Report the borrower to CIBIL
 - 3) Charge recovery fees
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10. Termination

Loan is terminated when:

- 1) All EMIs are paid
 - 2) No dues certificate is issued
 - 3) Hypothecation is removed from RC
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11. Governing Law

This Agreement shall be governed by the laws of **India**.

12. Signatures

Borrower:

Arun Kumar

Signature: _____

Date: 10 January 2025

Lender (HDFC Auto Finance Ltd):

Authorized Signatory

Signature: _____

Date: 10 January 2025

Sample Loan Agreement – 2

Prepared for:

[Meenakshi R]
[Borrower]

Prepared by:

[ICICI Bank Auto Finance Division]
[Lender]

Vehicle Loan Agreement

1. Introduction

This Vehicle Loan Agreement is executed on **20 February 2025**, between **ICICI Bank Auto Finance** (the “Lender”) and **Meenakshi R** (the “Borrower”).

The Agreement defines terms under which the Lender agrees to provide a vehicle loan, and the Borrower agrees to repay the same.

2. Vehicle Information

- a) Make: **Hyundai**
 - b) Model: **Creta SX**
 - c) Year: **2024**
 - d) Fuel Type: **Diesel**
 - e) Chassis Number: **MALC281ALRM092345**
 - f) Engine Number: **D4F2419283**
 - g) Registration No.: **KA03NL5521**
 - h) Odometer Reading: **25 km**
 - i) Vehicle Category: **SUV**
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3. Loan Term

Start Date: **01 March 2025**

End Date: **01 March 2032**

Total Tenure: **84 Months (7 Years)**

4. Loan Amount & Payment Terms

Approved Loan Amount: **₹13,00,000**

Interest Rate: **10.4% (Fixed)**

Processing Charges: **₹3,500**

Documentation Charges: **₹900**

Monthly EMI: ₹21,250

EMI Due Date: **10th of every month**

Payment Method:

- 1) Auto-Debit (Primary)
- 2) Net Banking / UPI (Optional)

Late Payment Charges:

- ₹750 penalty per missed EMI
 - Additional interest @ **2% per month**
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5. Hypothecation Clause

The vehicle is hypothecated to **ICICI Bank** until the loan is repaid.

Bank name shall appear in RC book under *Hypothecation Section*.

Borrower cannot:

- Sell
- Transfer ownership
- Re-register vehicle

without prior written consent.

6. Insurance Obligations

Borrower must ensure:

- Comprehensive policy
- IDV as per insurer guidelines
- Zero Depreciation cover for first 3 years
- ICICI Bank listed as hypothecation holder

Failure to maintain insurance may lead to vehicle seizure.

7. Borrower Responsibilities

Borrower agrees to:

- Ensure timely EMI payments
 - Maintain vehicle in roadworthy condition
 - Avoid illegal usage of vehicle
 - Report accidents immediately
 - Pay traffic fines / challans
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8. Pre-closure / Part-payment

Pre-closure allowed after **6 EMIs**.

Charges: **5% of outstanding principal**

Part-payment allowed: **Minimum ₹20,000**

Part-payment charges: **2%**

9. Events of Default

Borrower will be considered in default if:

- EMI overdue > 90 days
- Cheque bounce > 2 times
- Vehicle found misused
- Insurance not renewed
- Borrower becomes insolvent

Lender may:

1. Initiate repossession
 2. Levy collection/legal charges
 3. Cancel loan facility
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10. Termination and Closure

Loan closes when:

1. All dues are cleared
 2. No Dues Certificate issued
 3. RC hypothecation is removed
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11. Dispute Resolution

Disputes will be settled through:

1. Mutual Negotiation
 2. Mediation
 3. If unresolved — District Court, Bengaluru
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12. Signatures

Borrower:

Meenakshi R

Signature: _____

Date: 20 February 2025

Lender Representative:

ICICI Bank Auto Finance Division

Signature: _____

Date: 20 February 2025
